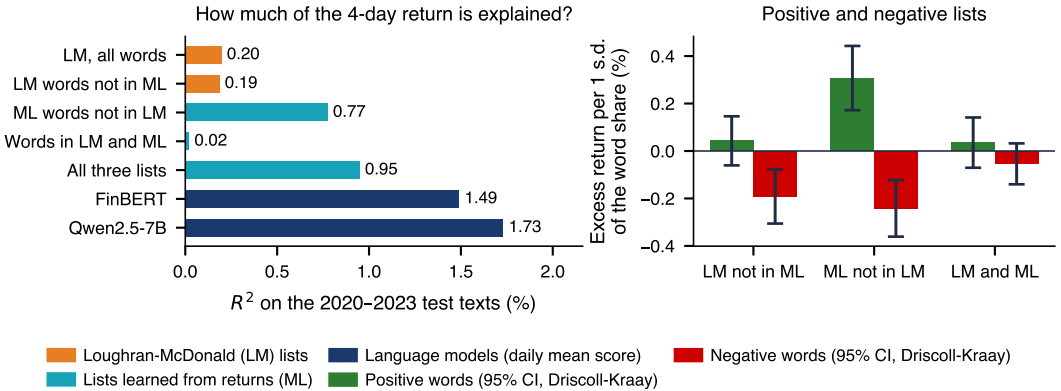
How much of the 4-day return is explained?
LM, all words
LM words not in ML
ML words not in LM
Words in LM and ML
All three lists
FinBERT
Qwen2.5-7B
0.20
0.19
0.77
0.02
0.95
1.49
1.73
0.0
0.5
1.0
1.5
2.0
R^2 on the 2020–2023 test texts (%)
Positive and negative lists
Excess return per 1 s.d. of the word share (%)
0.4
0.2
0.0
−0.2
−0.4
LM not in ML
ML not in LM
LM and ML
Loughran-McDonald (LM) lists
Lists learned from returns (ML)
Language models (daily mean score)
Positive words (95% CI, Driscoll-Kraay)
Negative words (95% CI, Driscoll-Kraay)